it was "odious and repugnant," described the nature of the transaction in his 1984 *Chairman's Letter* in characteristically colorful terms:[10]

> *In these transactions, two parties achieve their personal ends by exploitation of an innocent and unconsulted third party. The players are: (1) the "shareholder" extortionist who, even before the ink on his stock certificate dries, delivers his "your-money-or-your-life" message to managers; (2) the corporate insiders who quickly seek peace at any price—as long as the price is paid by someone else; and (3) the shareholders whose money is used by (2) to make (1) go away. As the dust settles, the mugging, transient shareholder gives his speech on "free enterprise", the muggee management gives its speech on "the best interests of the company", and the innocent shareholder standing by mutely funds the payoff.*

Icahn accepted greenmail on several occasions prior to it being outlawed, on one such occasion attracting a class-action lawsuit from the shareholders of Saxon Industries, a New York-based paper distributor that fell into bankruptcy following the transaction. The lawsuit charged that Icahn had failed to disclose to the market that he had requested greenmail in exchange for not undertaking a proxy contest. When Saxon Industries announced that it had paid Icahn $10.50 per share as greenmail, giving him a substantial profit on his $7.21 per share average purchase price, the stock fell precipitously. According to a lawsuit filed against Icahn, upon the sudden announcement by Saxon that it had purchased Icahn's stock, the market price of Saxon's stock nosedived to $6.50. While the bankruptcy of Saxon Industries was arguably more directly the result of its chairman Stanley Lurie's accounting fraud, the complaint demonstrated two ideas: First, the inequity of greenmail. The substantial premium paid to the greenmailer comes at the cost of all shareholders remaining in the company. Second, the complaint illustrates the power of the activist campaign. Icahn's threat of a proxy contest had pushed the stock price from around $6 to $10.50. Absent the possibility of a proxy contest, the stock fell back to its average pre-campaign price of $6.50.

While gaining control gave him discretion over the operating and capital allocation decisions of the company, Icahn's experience with the closed-end funds had taught him a valuable lesson—simply calling attention to the company's market price discount to its underlying and underexploited intrinsic value would attract the attention of other investors. He hoped that by signaling to the market that the company was undervalued, leveraged buy-out firms or strategic acquirers would compete for control and, in so doing, push up the market price of his holding. Icahn could then sell into any